AD-HOC OPINION · SEMICONDUCTORS

Astera Labs: a leader in AI connectivity, priced for flawless execution

22 October 2026 · Syz Research

Prices are as of the close on 21 October 2026.

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Astera Labs

ALAB US · NASDAQ · USD

The chips that let AI accelerators, processors and memory talk to each other inside the rack

Share price	Market value	Q2 2026 revenue	Q3 2026 guidance
USD 290.06	**c. USD 54bn**	**USD 392m**	**USD 540–560m**
-40% from the June 2026 high	c. 185m diluted shares	+104% year on year	+40% q/q at the midpoint

1. What the company does

Astera Labs, listed on Nasdaq since March 2024, designs semiconductors that move data inside AI and cloud servers. It is fabless: it designs the chips and outsources production. As AI clusters grow, data has to travel faster and further between GPUs, custom accelerators, processors, memory and network cards, and signals degrade along the way. Astera sells the parts that keep these links fast and reliable.

It has four product families. **Aries** retimers restore PCIe and CXL signals over longer distances. **Taurus** modules power active electrical cables for Ethernet. **Leo** controllers add memory over CXL. **Scorpio** fabric switches connect processors to accelerators (P-Series) and, more importantly, accelerators to each other in a rack (X-Series). A common software layer, COSMOS, lets customers monitor these links across their fleets. Customers are mainly hyperscalers and AI system makers.

2. Why it could do well

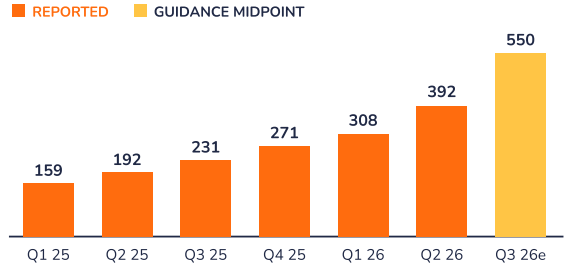
- **Growth is accelerating.** Revenue reached USD 852.5m in 2025 (+115%). The first half of 2026 alone brought USD 701m, and the Q3 guidance implies another 40% sequential jump.
- **Scorpio is taking over.** Management expects the switch family to become the largest in Q3, a quarter earlier than planned. Scorpio X entered volume production in Q2, more than ten customers are engaged and additional customers are expected to ship by year end.
- **Each new standard raises the content per rack.** PCIe 6 products made up more than half of Q2 revenue. Faster links lose more signal, which calls for more retimers and switches.
- **Open standards for scale-up.** Hyperscalers building their own AI accelerators need an alternative to proprietary links. Astera supports PCIe and UALink fabrics, an opportunity management sizes at about USD 10bn.

3. What sets it apart

- **Pure exposure.** Almost all revenue comes from AI and cloud infrastructure, with an early lead on PCIe 6.
- **High profitability.** In Q2 the gross margin was 73.7% and the operating margin 39.1% (non-GAAP); 73.3% and 22.7% on a GAAP basis.
- **Embedded software.** COSMOS sits inside customers' fleet management, which makes Astera harder to replace once designed in.
- **Solid balance sheet.** Cash and marketable securities of USD 1.25bn at end June; operating cash flow of USD 162m in the first half.

Chart 1 · ALAB: quarterly revenue

USD m, reported; Q3 2026 at the midpoint of company guidance



Source: Syz Research, Astera Labs results releases

4. Is the share cheap?

At USD 290.06 and about 185m diluted shares, the market value is close to USD 54bn (USD 52bn net of cash). Annualising the Q3 guidance midpoint gives revenue of USD 2.2bn, about 24 times that run rate, and adjusted EPS of about USD 4.74, about 60 times (80 times on GAAP guidance, which includes share-based pay).

On Bloomberg consensus earnings the share trades at about 73 times, against 41 times at the March 2026 low and more than 120 times in June (Chart 2). A disappointing quarter could weigh heavily.

5. Main risks

- **Customer concentration.** A handful of hyperscalers account for most of revenue, and the Scorpio X ramp rests mainly on one lead customer.
- **Competition.** Larger rivals named by the company include Broadcom, Marvell and Credo; Nvidia's NVLink could limit the reach of open standards.
- **AI spending cycle.** A pause in data centre budgets would hit a high-growth supplier first.
- **Lower margins.** Gross margin is guided at about 72% in Q3, from 76.4% in Q1, as switches and modules gain weight.

6. What to watch next

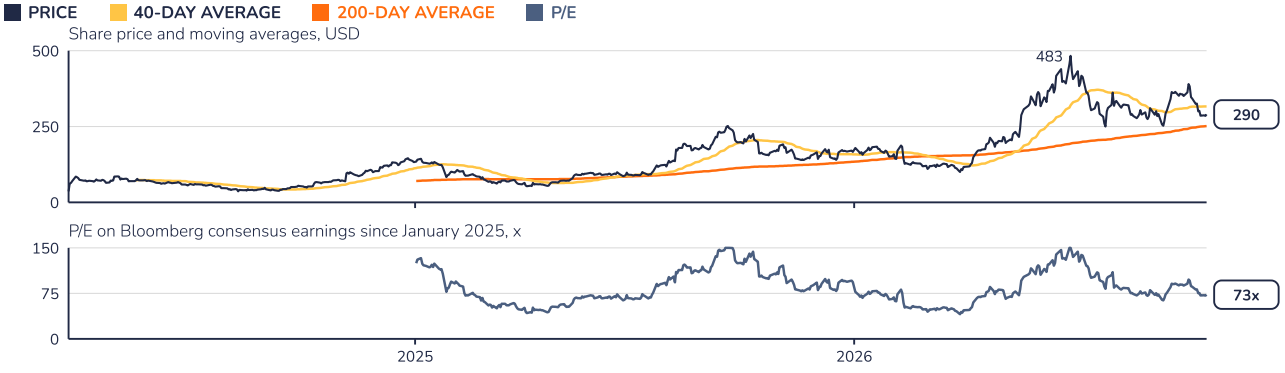
- **Q3 results** in early November: delivery against the USD 540–560m guidance and the Q4 outlook.
- **Scorpio X customers** shipping in volume beyond the lead customer, and the gross margin as the mix shifts.

Conclusion

Astera Labs is one of the purest listed ways to own the connectivity layer of AI data centres. Growth, margins and cash generation are all strong, and the Scorpio switches could make the company a much larger business than its retimer origins suggest. The valuation leaves little room for error, and the customer base is narrow.

Chart 2 · ALAB: share price since listing and valuation

Daily closes, 40- and 200-day averages; P/E on Bloomberg consensus earnings from January 2025, earlier values distorted by very low post-IPO earnings



Source: Syz Research, Bloomberg

Sources. Astera Labs results releases for Q4 2025, Q1 2026 (5 May 2026) and Q2 2026 (4 August 2026); Q2 2026 earnings call; Form 10-K 2025; Form 10-Q for the quarter ended 30 June 2026; Syz Research, Bloomberg; press reports. Market value, net cash, annualised revenue and earnings multiples are a Syz calculation based on the 21 October 2026 close and company guidance. Chart 1: Q1 and Q3 2025 derived from reported figures.

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